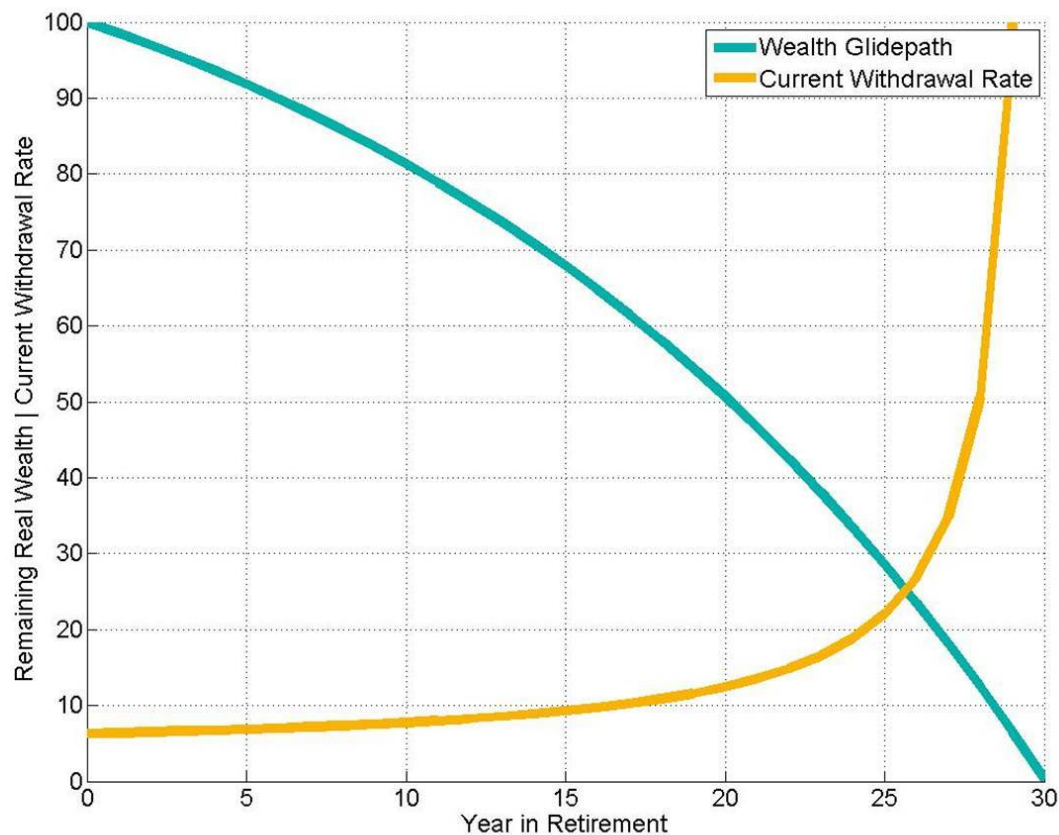




Next, Exhibit 3.2 provides a way to understand sequence risk and investment volatility by showing the glide path for remaining wealth for a 6.3 percent initial withdrawal rate with a 50/50 asset allocation for each of the sixty-two rolling historical thirty-year periods we have available since 1926. Historical outcomes vary greatly. In some cases, remaining wealth is entirely depleted within the first fifteen years of retirement. In other cases, real wealth has doubled after thirty years of retirement. This variation of outcomes is triggered by the different sequence of investment returns experienced by hypothetical individuals who otherwise behave in the same way, but who retire at different times in US history.

Exhibit 3.2

Wealth Glide Path over a 30-Year Retirement

For a 6.3% Initial Withdrawal Rate, 50/50 Asset Allocation, Inflation Adjustments